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Case Study

A New Chair at NLIInvest (C): Enabling Cultural Change



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This case study was written by J. Peter Clinch, Jean Monnet Full Professor and Chair of Public Policy at University College Dublin, and Stanislav Shekshnia, Senior Affiliate Professor of Entrepreneurship at INSEAD. It is intended to be used as a basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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“People worked very hard on this property deal and I would hate them to think the board didn’t appreciate their efforts.” That was how Lucas Bass, CEO of NLInvest, started his speech at the emergency board meeting that was called to discuss a potentially serious governance failure linked to the purchase of a new building on a technology campus.

The chair of the board, Maarten Jansen, having been urged by Lucas, who was “travelling”, to sign further documentation regarding the purchase, had subsequently discovered that his predecessor, Janice de Vries, had similarly been asked to sign a purchase contract without discussion by or approval from a full board meeting. After taking independent legal advice, Maarten was convinced that he could not legitimately sign. When challenged, Lucas had assured him that the agency’s lawyers had confirmed Janice had the right to sign.

Before the meeting, Maarten called the non-executive directors to ascertain their views on the seriousness of the issue, and more importantly, whether Lucas should be asked to resign.

Preparing for the Showdown

As Maarten considered his strategy before the board meeting, he realised how furious he was with Lucas for creating a serious governance problem for the agency, and trying to manoeuvre him into making a similar mistake. Moreover, he had seen no sign of the legal advice that Lucas assured him would confirm the legitimacy of the procedure. Trying not to take it personally, he told himself to focus not on achieving what he would consider a good outcome, but on ensuring a fair and effective process.

He was clear in his mind that the priority was to put in place the steps required to sort out the property purchase documentation and approval. This was the most pressing issue and the area of greatest risk, hence must take precedence over any consideration of the CEO’s future. He worked with his legal advisers to prepare a script to ensure the minutes would regularise the governance arrangements.

While admitting his antipathy towards Lucas, which he guessed was shared by at least some of the board, he realised that it might lead to an unstructured or unfair process when deciding the fate of the CEO. As chair, he had to frame the issues carefully, avoid an emotional response or taking unnecessarily radical steps, while ensuring the board carried out its fiduciary duty.

As always, he jotted down what he would say at the meeting so as to stay on track should there be any provocation by Lucas or an emotional response from board members. He was determined not to arrive with his mind already made up about the board’s decision. He would use the non-executive session at the beginning of the meeting to frame the problem, ensuring adequate time for the directors to calmly discuss potential actions and mitigation strategies.

Taking the Temperature

Before the meeting, Maarten reached out to some board members (Exhibit 1) to get a feel for the potential dynamics and to achieve consensus. He wasn't surprised that Frances Brower, who had regularly railed against senior management for their lack of respect, thought Lucas should be fired. Several board members were of the view that in the private sector Lucas would be fired, but given the complications of removing people from office in the public sector, any such decision would be highly disruptive for the agency and its staff. Two other members did not see the offence as sufficiently problematic to overrule Lucas's strong performance record.

Maarten was particularly keen to hear the view of Bart Hendriks, chair of the Audit and Risk Committee (ARC), a highly-respected director. He knew Bart would have a significant influence on the outcome of the board meeting. As an executive himself, Bart had been sympathetic to letting Lucas run the show, but had become increasingly disillusioned with Lucas's apparent lack of interest in day-to-day operations as the CEO increasingly focused on securing a new role. Bart told Maarten he was embarrassed he had not spotted the procedural error made in acquiring the new building. He was furious about Lucas's treatment of Janice, who he considered a good friend. But ultimately, with Lucas having no more than a year before the end of his contract and his view of no obvious successor, he concluded that didn't make sense to destabilise the agency by rendering it leaderless.

The Board Meeting

Reading from his notes, Maarten set out his version of events: how he had been asked to sign the lease for a parking lot and why he had refused to do so. He explained how, in taking legal advice on the issue, he discovered that Janice had signed the building purchase contracts without the appropriate board approval process and that it was his understanding that senior management had advised her to do so.

One board member, clearly discontented with the situation, asked whether Janice was aware of what had happened. Lucas responded that the senior management had put an "extraordinary amount of effort" into the property purchase, that his team were "stressed out", and the board should think carefully as "this sort of criticism might push them over the edge".

Struggling to remain calm, Maarten retorted that their "effort" was not an excuse for putting the board in a parlous situation, and that it was Lucas who was accountable for the governance failure – not his team. Trying to control himself, he lowered his voice and calmly told Lucas that the consequences of the governance failure would be discussed later; the current agenda item was about correcting the problem. Lucas fell silent.

With no further contributions from directors at that point, Maarten read a resolution – carefully crafted by his lawyers – which proposed retrospective approval of the property acquisition by the board and authorised the CEO to sign the lease for the parking lot. There were no questions or objections from the directors and the resolution was approved.

Then Maarten asked Lucas to leave the meeting. Lucas protested, arguing that as a board member he had a right and an obligation to be present. But Emily Peters, who was known to be close to Lucas, cut him off, saying, "Lucas, for your own sake, you should not be here for this discussion." Looking chastened, he nodded to her and left the room.

Maarten then invited the directors to give their views on Lucas' accountability and the potential consequences. One director said that that trust had been seriously damaged and wondered how the board could be confident they would not be put in a similar position again. Several others stated that they were concerned that senior management did not understand how serious the matter was, and one insisted, "We have to make it clear that any further governance failures would result in termination of the CEO's contract." Another spoke highly of Lucas and asked the board to remind themselves what had been achieved over the course of his tenure.

Bart Hendriks, chair of the Audit Committee, said Lucas had been "lucky", adding, "Ironically, the hard work of the chair in obtaining independent legal advice has resulted in what appears to be a rather simple fix to tidy up the mess made by Lucas. However, just because we caught it and found a way to regularise it, we must not forget this was a major failure of governance caused by a disrespectful CEO playing with the rules."

When Maarten asked Bart as to whether the implication of that was that the CEO should resign, Bart answered that Lucas enjoyed strong support in the agency, that there was no obvious successor, and he did not favour termination. Emily Peters agreed. Bart insisted, however, that Lucas had to change his attitude and respect the board as the highest decision-making body and his boss. He recommended a governance review (Exhibits 2 and 3). Maarten asked the directors if they would support that proposal, and they agreed.

After the *in camera* session, Maarten asked Lucas to return. The chair summarised the discussion and communicated the decision they had made to an uncharacteristically quiet Lucas. He looked shocked, then relieved. Maarten also informed Lucas that in anticipation of the end of his contract, the board would begin the process of recruiting a new CEO.

The Long Goodbye

"For God's sake, or at least for the sake of NLInvest, hire a CEO who knows how to work with a board." Bart Hendriks imparted this advice to his chuckling fellow board members sitting *in camera*, as they wrapped up a discussion item on the establishment of a CEO selection committee to handle the search for a new CEO. The committee consisted of Maarten as chair, Ann Bakker and Caroline Vos. Both Caroline and Ann had served for four years on the board, so were readily accepted by the other members as being suitably qualified and experienced. Maarten had proposed them as they had been the most articulate of the need for a change in culture at the agency.

The committee's tasks, as mandated by the board, were to:

1. Arrange a search and selection process, which would present two qualified candidates to the board, from which one would be appointed CEO;
2. Recommend the process for onboarding the new CEO, and for managing his/her progress over the first year.

CEO Succession

Despite the many occasions when Lucas had indicated that he was likely to be headhunted before his departure, he stayed until the very end of his contract. However, the momentum changed after the emergency board meeting. A change in the attitude of the non-executive directors enabled Maarten to garner their support for his reforms. The level of trust and camaraderie between board members increased, and board meetings became a forum for debate with a high level of engagement.

Maarten commissioned an external board evaluation which confirmed positive change both in directors' attitudes and board practices, and the governance review resulted in the writing of a new board manual. However, the culture of the senior management team remained a problem, one which a majority of board members privately admitted would not change until a new CEO was appointed.

The succession committee met formally six times and regularly communicated via email. At their first meeting they defined the selection criteria and the terms and conditions of the job (Exhibit 4). With the assistance of the agency's HR unit, they ran a procurement exercise to appoint an international search agency and subsequently agree on the final details of the job profile information and advertising strategy. The committee met with the search agency to discuss a longlist of candidates and selected seven for a first interview. A second round of interviews with four candidates took place several weeks later. Two candidates (Exhibits 5 and 6) were selected for a final interview.

The committee engaged a specialised consulting company to run an assessment of the two candidates and provide a 'personality inventory'. After the final round of interviews, the committee passed both files on to the board members for final discussion (Exhibits 5 and 6). Both candidates had indicated that if offered the role, they would accept the terms and conditions offered. The position, for an initial five-year term with the possibility of renewal, carried a non-negotiable (in accordance with public sector rules) salary of €265,000, and moving expenses.

The committee also prepared recommendations regarding the onboarding and evaluation of the new CEO. While unusual for such a position, the board accepted the committee's view that given the need for a change of culture in the organisation, the probation and evaluation of the CEO should be no different to that of any other staff member – a recommended minimum of nine months, with reviews at three-monthly intervals carried out by a three-person sub-committee of the Management Development and Remuneration Committee

(MDRC), who would make their recommendation to the board at the end of the probation period. It was agreed that the committee would be chaired by Maarten.

A New Dawn?

Maarten was content with the shortlist the committee had drawn up. As he readied himself for the board meeting, he had his own idea about who would best lead the agency in the next five years – he had a clear favourite. He was less clear who the board would pick. Whoever the successful candidate, it couldn't be as bad as working with Lucas could it?

Exhibit 1

Board of NLInvest

Name	Profile
Maarten Jansen • Non-executive Chair of Board • Chair of Management Development and Remuneration Committee (MDRC) • Chair of the Board Nominations Committee Tenure: 2 years	Maarten Jansen graduated in 1985 from the University of Utrecht in economics and statistics. He went on to complete a PhD in economics before deciding to train as an accountant with Arthur Anderson. He transferred to PwC, becoming Manager and then Director in the tax practice. In 2000, he was appointed a Partner, and later Head of Tax. In 2012, he was elected Managing Partner and, having served two terms, retired from PwC in 2018. Maarten currently holds a Professor of Practice position at the University of Boningen and has assumed non-executive roles in the private sector. Maarten has considerable experience of advising in both the private and public sectors, has regularly been consulted by Ministers and Prime Ministers, and has chaired a number of government advisory committees and taskforces.
Lucas Bass • Director (<i>ex-officio</i>) • CEO • Member, Grant Approval Committee Tenure: 10 years	Lucas Bass graduated with top marks and first in his class in engineering from Eindhoven University of Technology. He joined Vuwell Pharma as a product engineer in 1984 before being handpicked to enter the fast-track management training programme from which he was appointed the youngest Vice-President of the company in 1988. He went on to complete an executive MBA at the University of Maastricht graduating in first place and receiving the gold medal. Having returned to Vuwell, and promoted to Senior Vice-President, Lucas left to form a med-tech start-up which, five years later, he sold to a major multinational. After several years in venture capital and consulting, and being a strong believer in public service, Lucas agreed to take up the role of CEO of NLInvest in 2012. As CEO he completely revamped the strategy of the Agency, modernised the governance procedures, re-worked the value proposition for the country, and delivered a step-change in inward investment. Lucas has received many international awards for excellence in business and public service, including a recent public-services innovation award.
Frank DeJong • Non-executive Director • Member, Audit and Risk Committee Tenure: 7 years	Frank DeJong is Director of the Trade and Investment division of the Ministry of Enterprise of the Government of the Netherlands. Frank previously served as Director in the Ministry of Health and before that served in the Ministries of Finance and Education.

Ann Bakker • Non-executive Director • Member, Audit and Risk Committee • Member, CEO Selection Committee Tenure: 4 years	Ann Bakker is CFO of Vosinova Pharmaceuticals. She graduated in accounting and finance from Wageningen University and subsequently trained at Deloitte where she qualified as a chartered accountant. Having spent several years in the audit practice of the firm, where she became a Director, Ann moved to Vosinova Pharmaceuticals as Director of Finance before being promoted to CFO.
Caroline Vos • Non-executive Director • Member, Grant Approval Committee • Member, Management Development and Remuneration Committee (MDRC) • Member, CEO Selection Committee Tenure: 4 years	Caroline Vos is Head of Global Quality Assurance at Visiotekk Circuits, where she was formerly Senior Director EMEA for R&D. She graduated from the University of Hamburg with a Master's degree in electronic engineering and is a career lifer at Visiotekk where she spent time in Silicon Valley and South Korea before returning to Europe. Caroline has a particular interest in promoting the role of women in STEM and serves on two social enterprise boards focusing on secondary and tertiary education.
Bart Hendriks • Non-executive Director • Chair, Audit and Risk Committee Tenure 5 years	Bart Hendricks is CEO NL of Andover Plc, one of the world's leading clinical research organisations. Bart is an accountant by training having graduated from the University of Groningen in economic history. He later completed an MBA at Insead. Bart joined Andover in 2005. He served in a number of global roles and led a series of strategic projects including several complex acquisitions. Bart was appointed by the Board as CEO of the EMEA HQ of Andover in 2019.
Emily Peters • Non-executive Director • Member, Board Nominations Committee • Member, Management Development and Remuneration Committee (MDRC) Tenure: 8 years	Emily Peters is a former Director of DG Clima, European Commission. Emily studied political science and philosophy at the Sorbonne and, thereafter, joined the Commission as a Stagiaire. During her career at the Commission, she worked in several directorates including DG ECFIN and served as Chef de Cabinet of the Commissioner for Trade.

Frances Brouwer • Non-executive Director • Member, Board Nominations Committee Tenure: 9 years	Frances Brower is a Member of the Board of NLInvest. She previously was a career civil servant who served in multiple roles in public administration, including as Head of Secretariat to the Productivity Commission of the Netherlands, Deputy Director of the Ministry for Education, Member of secretariat to the Climate Change Commission and Assistant Director in the Ministry for Agriculture. She holds a BSc and MSc from the Institute of Public Administration.
Larry Hart • Non-executive Director • Chair, Grant Approval Committee Tenure: 9 years	Larry Hart is Professor of Strategic Management at the Lincoln School of Management at Boston State and holds a joint appointment as Professor of Public Policy at the Institute for Economic Development. Larry holds a BA from Harvard and a PhD from MIT. He has made seminal contributions on the economics of competitiveness, trade, and inequality. Currently, he has a particular interest in globalization and the determinants of Foreign Direct Investment. He has published a number of books and over 100 articles examining these topics and has advised international governments and several of their agencies on aspects of economic policy and economic development.

Exhibit 2

Extract from NLIInvest Organisation Chart

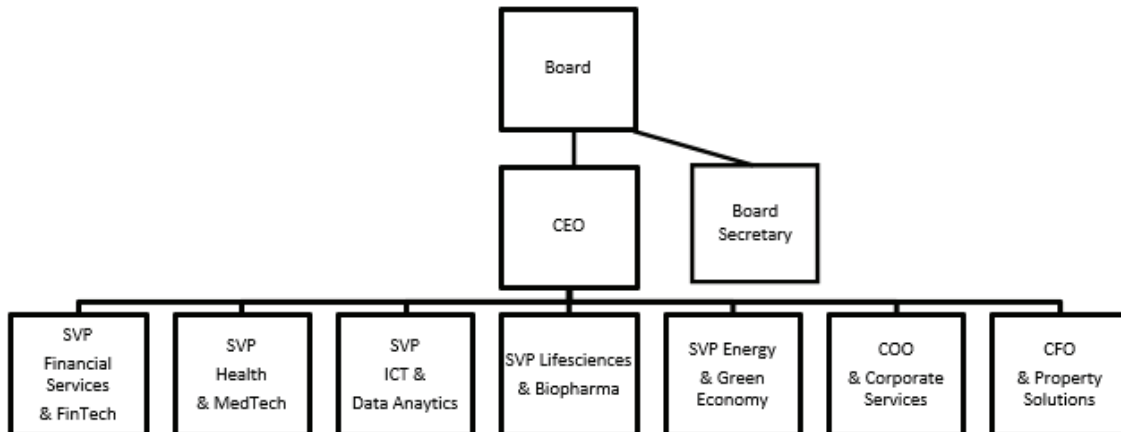


Exhibit 3

Extract from NLIInvest Website: What We Do/The Board

- The Board has collective responsibility to establish the strategic direction of the Agency.
- Within the resources allocated to it by government, the Board approves major strategic initiatives and programmes.
- The Board sets the ethical tone of the Agency, not only by its own actions but also in overseeing senior management and staff, to ensure good standards of governance and ethical behaviour within the Agency.
- The Board is required to direct, support, and evaluate the CEO.
- The Board ensures that the Agency complies with all statutory and administrative requirements for the use of public funds.
- The Board is required to assure itself that the Agency's systems of internal financial control, risk management, and operations compliance are appropriate.
- Board Members sign a conflict-of-interest policy and complete an annual declaration of interests.
- Board Members, in the furtherance of their duties, may take independent professional advice, if necessary, at the reasonable expense of the Agency, and approved by the Chair.

Exhibit 4

Selection Criteria for CEO Role

As Chief Executive Officer of NLInvest, you will lead the Agency in securing investment in the Netherlands from the world's leading companies by creating a world-leading investment environment for top-tier companies, in strategic sectors, providing employment and prosperity for the people of the Netherlands. Reporting to the Board, the CEO will bring strategic vision and leadership to the agency to achieve its ambitious strategy.

Selection Criteria:

- Proven and extensive track record of attainment and achievement at senior leadership level with responsibility for significant employee and financial resources.
- Deep understanding of the international business scene, market dynamics, and the sectors in which NLInvest sources investment.
- Senior experience of leading, with agility and resilience, complex strategic and change management initiatives.
- Confidence and decisiveness, as well as having the self-awareness to understand one's strengths and limitations, who can delegate successfully, and engage in inclusive decision-making.
- Sound judgment and an ability to manage difficult and complex issues in a dynamic environment.
- Strong commitment to excellent corporate governance and experience of reporting to, and successfully working with, a non-executive board.
- Strong advocacy and presentational skills, and a proven ability to influence.
- Relevant degree-level qualification desirable.

Exhibit 5

Candidate A

Henry Hammond holds the combined roles of Deputy CEO and Head of Strategy at InvestGB, the UK government's inward investment agency. Henry graduated from Birmingham University in 1992 with a degree in business. He also holds a diploma in leadership from the Institute of Public Administration. Henry is a career public servant, joining the civil service from university where he served initially in the Department of Trade and Industry before moving to InvestGB. Henry was posted to New York, where he held the role of vice-president North America for InvestGB. On his return, he served as Head of ICT and Head of Medical Devices before being appointed as Head of Strategy and, in 2019, Deputy CEO. As Deputy CEO, he oversaw the reorganisation of InvestGB into five directorates. Henry is currently responsible for corporate sustainability and ESG at the Agency.

Results of personality inventory

<i>Traits</i>	<i>Ex 10</i>	<i>Meaning of a high score</i>
Conscientious	8	Meets deadlines on time and completed projects thoroughly
Autonomous	6	Works well on own
Team player	8	Works well with others
Emotional control	8	Keeps emotions under control and avoids emotions interfering in work
Creative	4	Works well in an entrepreneurial and organic environment
Methodic	9	Works well in a context with systematic processes and well-defined rules and regulations
Trusting	7	Trusting person who believed in people and what they say
Decisive	5	No hesitation in reaching conclusions. Does not need a debate
Inclusive	8	Prefers to reach decisions and make decisions after consultation
Adaptable	5	Adapts well to different situations and to working with different people
Dominant	6	Dominant person who likes to control and lead a group
Ambitious	7	Career and personal success are high priorities

Exhibit 6

Candidate B

Samantha Graaf is CEO of Vartekk Devices, a leading multinational manufacturer of computer and mobile device components. A native of the Netherlands, Graaf graduated in accounting from the University of Amsterdam. She went on to study for an MS degree in engineering at Virginia Tech (USA), from which she graduated *summa cum laude* in 2000. She joined the graduate program in Plesis Systems PLC, becoming Vice-President and subsequently Senior Vice-President responsible for R&D. After the birth of her daughter in 2008, Graaf took a well-timed career break before, in 2010, she became an equity partner in Vrizio Technology Ltd, a high-growth start-up. In 2014, Vrizio having been acquired by Vartekk Devices, she returned to the company as the head of EMEA and subsequently Global Head, of R&D. In 2018, Graaf was appointed by the board as Global CEO of Vartekk Devices and an ex-officio member of the board. In her spare time, she enjoys martial arts and spending time with her husband and daughter.

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Dominant	8	Career and personal success are high priorities